

The Birth of Inflation Targeting: A New Era in Monetary Policy

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Note

By the late 1970s and early 1980s, inflation had become deeply entrenched across both advanced and small open economies. Monetary targeting had failed as a reliable operational guide. Rapid financial innovation destabilized money demand, central banks repeatedly missed their monetary targets, and credibility deteriorated. Policymakers slowly learned a critical lesson: without anchored expectations, monetary policy cannot achieve lasting stability. Credibility—not monetary aggregates—was the scarce asset of the period. A durable monetary policy framework needed two things: (1) institutional arrangements strong enough to enforce discipline and (2) analytical tools that support coherent, forward-looking decision-making under uncertainty. New Zealand and Canada pioneered these two pillars.

1. New Zealand: The First Institutional Inflation-Targeting Regime

By the late 1980s, New Zealand faced persistent double-digit inflation, volatile expectations, and limited policy credibility. The Reserve Bank Act (1989) transformed the policy environment by establishing operational independence, a clear price-stability mandate, a Policy Targets Agreement (PTA), and direct accountability of the Governor for target outcomes. This created the first modern inflation-targeting regime that set the inflation target at 2%.

2. A Modern Rationale for a 2% Inflation Target

If you asked your grandmother what “price stability” means, she would probably tell you that *true* price stability corresponds to 0% inflation—a world where the cost of living neither rises nor falls. In principle, economists agree: zero inflation is the clean theoretical benchmark.

Yet when central banks began adopting explicit numerical inflation targets—starting with New Zealand in 1990 and soon followed by Canada—the target chosen was not zero, but 2%. This number was not revealed by economic theory; it was a pragmatic, operational choice. Policymakers wanted a rate low enough to preserve long-run price stability but high enough to avoid the well-known dangers associated with zero inflation and deflation. Over time, the 2% target became a global norm.

The reasoning rests on a few core arguments among others:

a. Downward Nominal Wage Rigidity

Workers strongly resist nominal wage cuts, even when real wages must adjust. With a small positive inflation rate, real wages can decline gradually without requiring explicit pay cuts. This improves labor-market flexibility and reduces the risk of persistent unemployment in downturns.

b. Measurement Biases in CPI

Price indices systematically overstate true inflation because they do not fully capture:

- quality improvements,
- substitution toward cheaper goods,
- the introduction of new products.

A measured 2% inflation rate may correspond to 1% or less in true inflation. Targeting 0% inflation would risk actual deflation.

c. Reducing the Risk of Deflation

Deflation is destabilizing because it:

- raises real interest rates,
- increases real debt burdens,
- depresses demand,
- tightens financial conditions.

This was the vicious cycle that perpetuated the Great Depression. A small positive target acts as a buffer, ensuring that temporary shocks do not push the economy into a deflationary spiral.

3. Canada: The First Modern Analytical Framework

However, New Zealand lacked an analytical system capable of managing the economy once inflation reached low levels. Without an FPAS, early policy decisions relied too heavily on the exchange rate and a narrow interpretation of CPI inflation and a strict period for when the inflation target should be achieved. Thus, early central bank behaviour under inflation targeting generated large and unnecessary volatility in output in order to meet its inflation objectives. Haworth, Kostanyan, and Laxton (2019) provide a detailed account of these shortcomings.

While New Zealand developed institutional credibility, the Bank of Canada developed analytical credibility. The key breakthrough was the creation of the Quarterly Projection Model (QPM) by Douglas Laxton, David Rose, and Bob Tetlow—the first forward-looking structural model used operationally for monetary policy. QPM incorporated rational expectations, a coherent transmission mechanism, and internally consistent medium-term projections, marking a decisive shift away from backward-looking econometric frameworks.

This evolution can be understood through the analogy we often use to highlight the pitfalls of relying on backward-looking and linear econometric analysis in monetary policy. The economy resembles the winding mountain road to Dilijan, not a straight U.S. interstate highway. Driving with an econometric mindset is like driving that mountain road while looking only in the rearview mirror, and assuming the road stays perfectly straight. The outcome is inevitable: you crash.

QPM, while still linear, at least allowed policymakers to keep their eyes on the road ahead. Its forward-looking structure provided a coherent way to incorporate anticipated shocks, expectations, and policy actions, laying the foundation for modern forecasting and policy analysis systems used in inflation-targeting regimes today.

QPM did not incorporate policy credibility or a loss function directly. These concepts were developed in parallel research, most importantly Laxton, Ricketts, and Rose (1993), which emphasized the importance of uncertainty, learning, and reputation. This separation ensured QPM remained tractable while credibility research informed policy decisions.

By the early 1990s, the Bank of Canada had built the world's first functioning Forecasting and Policy Analysis System. Decades later, Bernanke (2025) would highlight that advanced-economy central banks like the Bank of England and the Federal Reserve lacked precisely this type of structured FPAS framework.

4. The New Zealand Arc: From Reform to Full FPAS

- New Zealand’s evolution unfolded in four stages:
- Credible disinflation (1989–1992)
- Flexibility and trade-offs (mid-1990s)
- Adoption of FPS (1997–1999)
- Modernization and macroprudential integration (2000s onward)

The RBNZ became the first central bank in the world to publish the expected path of the policy rate—an exceptional level of transparency still unmatched by many advanced economies.

The working-paper version of Hunt, Rose, and Scott (2000), presented in 1998, was the first document to use the term “Forecasting and Policy Analysis System,” marking the beginning of FPAS globally.

It is no coincidence that the RBNZ’s strong analytical and institutional tradition positioned it well for managing the unprecedented challenges of the COVID-19 pandemic. Building on decades of disciplined framework design and forward-looking analysis, the RBNZ was able to adopt a policy strategy that fully embraced the risk-management approach to monetary policy. During the crisis, this strategy became known as the “policy of least regrets.” The idea was simple: at the depths of the pandemic, the costs of doing too little risked an economic collapse, long-term unemployment and financial instability. The RBNZ therefore opted for a strategy they knew could result in overstimulating the economy, recognizing that the extreme uncertainty, it is better to err on the side of supporting demand too much rather at the expense of a possible high inflation scenario.

5. Complementary Strengths: Institutional vs. Analytical Credibility

New Zealand pioneered institutional credibility; Canada pioneered analytical credibility. Other small open economies soon followed, notably the Czech National Bank, which implemented a full FPAS by 2003 (Coats, Laxton, and Rose 2003).

Bernanke (2024, 2025) emphasizes that many advanced-economy central banks continue to lag behind smaller open economies in the structure and transparency of their frameworks.

Armenia’s FPAS Mark II integrates global best practices and builds upon them to address new challenges. It applies least-regrets analysis, forward-looking modelling, and strategic communication.

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Script

Hello everyone, I’m **Susanna Grigoryan**, an **Economist at the Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. In this video, we’ll explore how the modern era of monetary policy began — the birth of **inflation targeting**, a framework that transformed central banking worldwide and continues to shape our work today.

By the late 1970s and early 1980s, inflation was deeply embedded across much of the world. Monetary targeting was failing, financial innovation was breaking traditional

relationships, and policymakers were struggling to anchor expectations. It became clear that credibility—not money growth—was the cornerstone of effective monetary policy.

New Zealand was the first country to tackle this challenge directly. The 1989 Reserve Bank Act introduced operational independence, a price stability mandate, and the Policy Targets Agreement, which held the Governor accountable for inflation outcomes. This was the first modern inflation-targeting regime.

At the same time, Canada was building the analytical foundations of modern monetary policy. The Quarterly Projection Model—QPM—developed by Douglas Laxton, David Rose, and Bob Tetlow, allowed policymakers to ask the right forward-looking questions: Where is the economy today? What forces are driving it? And what path for the policy rate is needed to achieve the inflation objective?

These two traditions—New Zealand’s institutional credibility and Canada’s analytical credibility—created the modern FPAS frameworks used around the world. New Zealand later adopted the Forecasting and Policy System, FPS, becoming the first central bank to publish the expected path of the policy rate. Even today, few advanced-economy central banks match that level of transparency.

More recently, Ben Bernanke’s review of the Bank of England emphasized the importance of a comprehensive FPAS framework, scenario-based analysis, and transparent communication. These ideas were pioneered decades earlier in Canada, New Zealand, and the Czech National Bank.

Finally, Armenia’s FPAS Mark II builds on all of these lessons. It is grounded in least-regrets analysis, forward-looking modelling, and transparent communication.

Thank you for watching. I would like to thank **Douglas Laxton, Jared Laxton, Asya Kostanyan** and **Sopio Mkervolidze** for their guidance in preparing this material. See you in the next episode of the CBA Academy.

See you there.